

BBAI — Assumptions

BBAI — DCF Model Assumptions

All dollar inputs in \$thousands | Blue = input

A. HISTORICAL FINANCIAL DATA (Source: BBAI 10-K					
Line Item	FY2023	FY2024	FY2025	Notes	
Revenue	155,164	158,236	127,672	127,672	Source: EDGAR
Cost of Revenue	114,563	113,016	99,194	99,194	Source / derived
Gross Profit (\$000s)					Formula: Revenue – CoR
Gross Margin %					Formula
SG&A	71,057	80,040	95,132	95,132	Source: EDGAR
R&D	5,035	10,863	16,752	16,752	Source: EDGAR
EBIT (Operating Loss)	-39,034	-133,420	-213,897	-213,897	Source: EDGAR
D&A	7,901	11,873	15,281	15,281	Source: EDGAR Cash Flow
Stock-Based Comp	18,671	21,127	23,330	23,330	Source: EDGAR Cash Flow
CapEx (PP&E)	2	484	525	525	Source: EDGAR Cash Flow
Capitalized Software	3,828	10,630	3,841	3,841	Source: EDGAR
Interest Expense	24,877	25,647	18,116	18,116	Source: EDGAR
Interest Income	392	2,293	13,253	13,253	Source: EDGAR
Net Loss	-70,657	-295,547	-293,914	-293,914	Source: EDGAR
Adjusted EBITDA		-2,397	-35,140	-35,140	Source: BBAI Q4 2025 Press Release
A2. BALANCE SHEET SNAPSHOT (Source: BBAI 10-K FY					
Line Item	FY2024	FY2025	Notes		
Cash & Equivalents	50,141	87,126	EDGAR Cash		
AFS Investments (Current)	0	200,461	EDGAR / 0 if none		
AFS Investments (Non-Current)	0	173,949	EDGAR / 0 if none		
Total Liquidity			Formula: Cash + AFS		
Accounts Receivable	38,953	22,703	EDGAR AR		
Goodwill	119,081	241,100	EDGAR Goodwill		
Intangibles, net	119,119	139,470	EDGAR Intangibles		
Total Debt (Gross Principal)	200,818	142,273	EDGAR Debt		
Post-Jan-2026 Debt (2026 Notes Only)			Formula: 2029 Notes converted Jan 2026; only		
Shares Outstanding	251,554,378	436,955,655	EDGAR diluted shares		
Post-Jan-2026 Shares (est.)			Formula: FY25 shares + ~38.1M from 2029 Note		
Federal NOL Carryforward (\$K)		339,600	Source: BBAI 10-K FY2025, p.125 (unlimited ca		
B. REVENUE GROWTH ASSUMPTIONS (Yellow = key input					
Assumption	Base Case	Bull Case	Bear Case	Notes	
FY2026 Revenue Growth Rate	17.0%	25.0%	5.0%	5.0%	Mgmt 2026 guide: \$135M–\$165M (~17% mid)
FY2027 Revenue Growth Rate	20.0%	30.0%	10.0%	10.0%	Ask Sage (\$229M acquisition) ramp + Middle Ea
FY2028 Revenue Growth Rate	22.0%	30.0%	12.0%	12.0%	
FY2029 Revenue Growth Rate	25.0%	30.0%	15.0%	15.0%	

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Gross Margin % — FY2028	30.0%	34.0%	25.0%	
Gross Margin % — FY2029	33.0%	37.0%	27.0%	
Gross Margin % — FY2030	35.0%	40.0%	29.0%	
Gross Margin % — FY2031–35	38.0%	44.0%	31.0%	
Gross Margin % — FY2036–45	42.0%	50.0%	33.0%	
SG&A as % Revenue — FY2026	65.0%	58.0%	72.0%	FY2025=75%; assumes sales investment continue
SG&A as % Revenue — FY2027	55.0%	48.0%	65.0%	
SG&A as % Revenue — FY2028	48.0%	40.0%	58.0%	
SG&A as % Revenue — FY2029	42.0%	34.0%	52.0%	
SG&A as % Revenue — FY2030	38.0%	30.0%	47.0%	
SG&A as % Revenue — FY2031–35	30.0%	24.0%	40.0%	
SG&A as % Revenue — FY2036–45	25.0%	20.0%	35.0%	
R&D as % Revenue — All Years	10.0%	12.0%	8.0%	FY2025=13%; normalizing
D&A as % Revenue — All Years	10.0%	9.0%	11.0%	FY2025=12%; intangible amort declines
CapEx as % Revenue — All Years	3.0%	2.0%	4.0%	Asset-light; FY2025 CapEx+CapSW=3.4%
Stock-Based Comp as % Revenue	10.0%	9.0%	12.0%	
Change in NWC as % Rev Change	5.0%	3.0%	8.0%	Low NWC intensity for government services
Tax Rate (Cash)	0	0	2.0%	\$339.6M federal NOL; cash taxes ~0%
Tax Rate (Terminal / WACC)	21.0%	21.0%	21.0%	US statutory rate

D. WACC ASSUMPTIONS				
Assumption	Base Case	Bull Case	Bear Case	Notes
Risk-Free Rate	4.3%	4.0%	4.6%	10-yr US Treasury April 2026
Equity Risk Premium	5.5%	5.0%	6.0%	Damodaran US ERP
Beta (Levered)	2.20	1.90	2.50	High-beta small-cap defense AI; BBAI goodwill
Size / Illiquidity Premium	3.0%	2.0%	4.0%	
Cost of Equity				Formula: Rf + Beta×ERP + Size
Pre-Tax Cost of Debt	6.0%	5.5%	7.0%	
Weight of Equity	85.0%	90.0%	80.0%	
Weight of Debt				Formula: 1 – Weight of Equity
WACC				Formula: Ke×We + Kd×(1–t)×Wd

E. TERMINAL VALUE ASSUMPTIONS				
Assumption	Base Case	Bull Case	Bear Case	Notes
Terminal Growth Rate (Gordon Growth)	3.0%	3.5%	2.5%	Must be < WACC; long-run nominal GDP proxy
Terminal EV/EBITDA Multiple (cross-check)	15	20	10	Comp range
Terminal EBITDA Margin (for EV/EBITDA check)	20.0%	26.0%	14.0%	

F. WACC DECOMPOSITION — Why WACC is high & the tw				
Component	Current Value	Source / Formula	Contribution to WACC	How to Lower It

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Stage 2 — Proven Platform	1.30	1.0%	ARR growth visible; Ask Sage recurring
Stage 3 — Re-Rating (\$10)	1	0	Debt-free, profitable 3+ yrs
Blue Sky — Palantir Comp	85.0%	0	BBAI beta converges to Palantir peers

BBAI — DCF Model

BBAI — 20-Year Unlevered Free Cash									
Year	FY2025 (Actu	2026	2027	2028	2029	2030	2031	2032	2033
A. REVENUE PROJECTION									
Revenue Growth Rate (Active Scenari	—								
Revenue (\$000s)									
B. INCOME STATEMENT PROJECTION									
Gross Margin %									
Gross Profit (\$000s)									
SG&A as % Revenue									
SG&A (\$000s)									
R&D as % Revenue									
R&D (\$000s)									
EBIT (\$000s)									
EBIT Margin %									
Cash Tax Rate (Active Scenario)									
NOPAT = EBIT × (1 – Tax Rate) (\$000									
C. UNLEVERED FREE CASH FLOW BUILD									
D&A as % Revenue									
(+) D&A (\$000s)									
CapEx as % Revenue									
(–) CapEx + Capitalized Software									
Δ NWC as % Revenue Change									
(–) Change in NWC (\$000s)									
UNLEVERED FCF (\$000s)									
UFCF Margin %									
D. DISCOUNTING (Mid-Year Conventi									
WACC (Active Scenario)									
Discount Period (Mid-Year)	—								
Discount Factor	—								
PV of UFCF (\$000s)	—								
Sum of PV (UFCF) — Years 1–20 (\$000									
E. TERMINAL VALUE (Gordon Growth									
Year 20 UFCF (\$000s)									
Terminal Growth Rate (Active Sce									
WACC (Active Scenario)									
Terminal Value (undiscounted) (\$000									
Terminal Value Discount Factor (									
PV of Terminal Value (\$000s)									
Terminal Value as % of Total Ent									
Terminal Value Cross-Check: EV/EBIT									
Year 20 Revenue (\$000s)									
Terminal EBITDA Margin (Active S									

BBAI — DCF Model

FY2030E Revenue (\$000s)	
FY2045E Revenue (\$000s)	
FY2026E Gross Margin %	
FY2026E EBIT (\$000s)	
WACC	
Terminal Growth Rate	
Sum PV of FCFs (\$000s)	
PV of Terminal Value (\$000s)	
Enterprise Value (\$000s)	
Equity Value (\$000s)	
Implied Share Price (\$)	

H. SENSITIVITY: Implied Share Pric						
WACC \ TGR →	2.0%	2.5%	3.0%	3.5%	4.0%	4.5%
10%						
12%						
14%						
16%						
18%						
20%						

■■ SCENARIO ENGINE (helper rows – d			
Metric	Base	Bull	Bear
Rev 2026			
Rev 2027			

Rev 2045	
UFCF 2026	
UFCF 2027	
UFCF 2028	
UFCF 2029	
UFCF 2030	
UFCF 2031	
UFCF 2032	
UFCF 2033	
UFCF 2034	
UFCF 2035	
UFCF 2036	
UFCF 2037	
UFCF 2038	
UFCF 2039	
UFCF 2040	
UFCF 2041	
UFCF 2042	
UFCF 2043	
UFCF 2044	
UFCF 2045	
PV_UFCF 2026	
PV_UFCF 2027	
PV_UFCF 2028	
PV_UFCF 2029	
PV_UFCF 2030	
PV_UFCF 2031	
PV_UFCF 2032	
PV_UFCF 2033	
PV_UFCF 2034	
PV_UFCF 2035	
PV_UFCF 2036	
PV_UFCF 2037	
PV_UFCF 2038	
PV_UFCF 2039	
PV_UFCF 2040	
PV_UFCF 2041	
PV_UFCF 2042	
PV_UFCF 2043	
PV_UFCF 2044	
PV_UFCF 2045	
Sum PV_UFCF	

BBAI — DCF Model Columns 11-19

BBAI — 20-Year Unlevered Free Cash									
Year	2034	2035	2036	2037	2038	2039	2040	2041	2042
A. REVENUE PROJECTION									
Revenue Growth Rate (Active Scenari									
Revenue (\$000s)									
B. INCOME STATEMENT PROJECTION									
Gross Margin %									
Gross Profit (\$000s)									
SG&A as % Revenue									
SG&A (\$000s)									
R&D as % Revenue									
R&D (\$000s)									
EBIT (\$000s)									
EBIT Margin %									
Cash Tax Rate (Active Scenario)									
NOPAT = EBIT × (1 – Tax Rate) (\$000									
C. UNLEVERED FREE CASH FLOW BUILD									
D&A as % Revenue									
(+) D&A (\$000s)									
CapEx as % Revenue									
(–) CapEx + Capitalized Software									
Δ NWC as % Revenue Change									
(–) Change in NWC (\$000s)									
UNLEVERED FCF (\$000s)									
UFCF Margin %									
D. DISCOUNTING (Mid-Year Conventi									
WACC (Active Scenario)									
Discount Period (Mid-Year)									
Discount Factor									
PV of UFCF (\$000s)									
Sum of PV (UFCF) — Years 1–20 (\$000									
E. TERMINAL VALUE (Gordon Growth									
Year 20 UFCF (\$000s)									
Terminal Growth Rate (Active Sce									
WACC (Active Scenario)									
Terminal Value (undiscounted) (\$000									
Terminal Value Discount Factor (									
PV of Terminal Value (\$000s)									
Terminal Value as % of Total Ent									
Terminal Value Cross-Check: EV/EBIT									
Year 20 Revenue (\$000s)									
Terminal EBITDA Margin (Active S									

BBAI — DCF Model Columns 11-19

FY2030E Revenue (\$000s)
FY2045E Revenue (\$000s)
FY2026E Gross Margin %
FY2026E EBIT (\$000s)
WACC
Terminal Growth Rate
Sum PV of FCFs (\$000s)
PV of Terminal Value (\$000s)
Enterprise Value (\$000s)
Equity Value (\$000s)
Implied Share Price (\$)

H. SENSITIVITY: Implied Share Price

WACC \ TGR →

10%
12%
14%
16%
18%
20%

■■ SCENARIO ENGINE (helper rows – d

MetricRev 2026Rev 2027

BBAI — DCF Model Columns 11-19

Rev 2045
UFCF 2026
UFCF 2027
UFCF 2028
UFCF 2029
UFCF 2030
UFCF 2031
UFCF 2032
UFCF 2033
UFCF 2034
UFCF 2035
UFCF 2036
UFCF 2037
UFCF 2038
UFCF 2039
UFCF 2040
UFCF 2041
UFCF 2042
UFCF 2043
UFCF 2044
UFCF 2045
PV_UFCF 2026
PV_UFCF 2027
PV_UFCF 2028
PV_UFCF 2029
PV_UFCF 2030
PV_UFCF 2031
PV_UFCF 2032
PV_UFCF 2033
PV_UFCF 2034
PV_UFCF 2035
PV_UFCF 2036
PV_UFCF 2037
PV_UFCF 2038
PV_UFCF 2039
PV_UFCF 2040
PV_UFCF 2041
PV_UFCF 2042
PV_UFCF 2043
PV_UFCF 2044
PV_UFCF 2045
Sum PV_UFCF

BBAI — DCF Model Columns 20-22

BBAI — 20-Year Unlevered Free Cash			
Year	2043	2044	2045
A. REVENUE PROJECTION			
Revenue Growth Rate (Active Scenari			
Revenue (\$000s)			
B. INCOME STATEMENT PROJECTION			
Gross Margin %			
Gross Profit (\$000s)			
SG&A as % Revenue			
SG&A (\$000s)			
R&D as % Revenue			
R&D (\$000s)			
EBIT (\$000s)			
EBIT Margin %			
Cash Tax Rate (Active Scenario)			
NOPAT = EBIT × (1 – Tax Rate) (\$000			
C. UNLEVERED FREE CASH FLOW BUILD			
D&A as % Revenue			
(+) D&A (\$000s)			
CapEx as % Revenue			
(-) CapEx + Capitalized Software			
Δ NWC as % Revenue Change			
(-) Change in NWC (\$000s)			
UNLEVERED FCF (\$000s)			
UFCF Margin %			
D. DISCOUNTING (Mid-Year Conventi			
WACC (Active Scenario)			
Discount Period (Mid-Year)			
Discount Factor			
PV of UFCF (\$000s)			
Sum of PV (UFCF) — Years 1–20 (\$000			
E. TERMINAL VALUE (Gordon Growth			
Year 20 UFCF (\$000s)			
Terminal Growth Rate (Active Sce			
WACC (Active Scenario)			
Terminal Value (undiscounted) (\$000			
Terminal Value Discount Factor (			
PV of Terminal Value (\$000s)			
Terminal Value as % of Total Ent			
Terminal Value Cross-Check: EV/EBIT			
Year 20 Revenue (\$000s)			
Terminal EBITDA Margin (Active S			

BBAI — DCF Model Columns 20-22

- FY2030E Revenue (\$000s)
- FY2045E Revenue (\$000s)
- FY2026E Gross Margin %
- FY2026E EBIT (\$000s)
- WACC
- Terminal Growth Rate
- Sum PV of FCFs (\$000s)
- PV of Terminal Value (\$000s)
- Enterprise Value (\$000s)
- Equity Value (\$000s)
- Implied Share Price (\$)

H. SENSITIVITY: Implied Share Price

WACC \ TGR →

10%
12%
14%
16%
18%
20%

■■ SCENARIO ENGINE (helper rows – d

MetricRev 2026Rev 2027

Rev 2045		
UFCF 2026		
UFCF 2027		
UFCF 2028		
UFCF 2029		
UFCF 2030		
UFCF 2031		
UFCF 2032		
UFCF 2033		
UFCF 2034		
UFCF 2035		
UFCF 2036		
UFCF 2037		
UFCF 2038		
UFCF 2039		
UFCF 2040		
UFCF 2041		
UFCF 2042		
UFCF 2043		
UFCF 2044		
UFCF 2045		
PV_UFCF 2026		
PV_UFCF 2027		
PV_UFCF 2028		
PV_UFCF 2029		
PV_UFCF 2030		
PV_UFCF 2031		
PV_UFCF 2032		
PV_UFCF 2033		
PV_UFCF 2034		
PV_UFCF 2035		
PV_UFCF 2036		
PV_UFCF 2037		
PV_UFCF 2038		
PV_UFCF 2039		
PV_UFCF 2040		
PV_UFCF 2041		
PV_UFCF 2042		
PV_UFCF 2043		
PV_UFCF 2044		
PV_UFCF 2045		
Sum PV_UFCF		